

EGYPTIAN CHEMICAL INDUSTRIES (KIMA) — EGX: EGCH — VALUATION MODEL

WHAT THIS FILE IS

A live formula model of a single-site Egyptian nitrogen-fertilizer producer. Revenue is built product by product as tonnes times price; cost is built as production times a unit price; the cost of capital, the discount-rate glide, the free-cash-flow waterfall, the terminal block, the statement roll-forwards ratio are calculated in the sheet. Change a blue cell on Assumptions and the valuation recomputes.

BLUE IS AN INPUT. BLACK IS A FORMULA. GREEN IS A LINK TO ANOTHER SHEET.

THE THREE CLASSES OF PASTED CELL, AND THERE ARE NO OTHERS

1. AUDITED AND DISCLOSED HISTORY. The Income Statement, Balance Sheet and Cash Flow sheets carry the figures exactly as issued in the company's audited statements for the years ended 30 June 2023, 2024 and 2025 and its reviewed nine-month accounts to 31 March 2026. Where a line is both disclosed and derivable, the DISCLOSED figure is carried and the derivation sits beside it as a check.

2. THE UNIT BUILD'S OUTPUT. Production tonnages, the split of those tonnes between the subsidised, local free-market and export channels, and the price in each channel are the output of a reconciliation against the audited revenue note that would be unreadable flattened into a grid. They are pasted into Assumptions; everything downstream is a formula.

3. WHOLE-MODEL RE-RUNS AND SIMULATION OUTPUT. Every cell of the Sensitivity grid is a complete revaluation at a different pair of inputs, and the Monte Carlo sheet reports statistics of a fifty-thousand-path simulation. NEITHER REDRAWS WHEN A DRIVER CHANGES, and both say so on their own sheets.

THE CONTESTED JUDGEMENT IS CARRIED BOTH WAYS, NEVER AVERAGED

This company is building a nitric-acid and ammonium-nitrate complex whose bank-approved cost is about three quarters of its own stock-market value. Whether that programme is carried through or stopped is worth more than three pounds a share — more than twice the central estimate itself. Averaging the two worlds to report a number that is true in neither world, so both are computed and both are published: on Summary, on Fundamental Valuation, in the DCF sheet columns, and in the expert panel.

This is a valuation study. It is not a rating and not a price target: it reports a range of fair values and the distribution around them.

SUMMARY — EVERY
READ AT A GLANCE

Every figure here is a formula reading the
valuation sheets. The contested judgement
appears as two columns and is never

Lens	Programme carried through (EGP/share)	Programme stopped (EGP/share)	Against spot	What it measures
Cash flow — the primary lens	4.04	8.04	-72.0%	Free cash flow to the firm, discounted on a glided cost of capital
Book value and sustainable return	0.00	0.00	-100.0%	Book equity at the justified multiple implied by its own sustainable return
Relative multiples	15.99	15.99	10.9%	Forward EBITDA at the mid-point of the Egyptian industrial range
Normalised earnings power	4.29	4.29	-70.2%	Mid-cycle operating profit after tax at a justified multiple

THE FIELD — the range of the
published reads, never an
average of them

Low	4.04
High	15.99
Spread across the published reads	11.95
Spot price, 3 September 2026	14.41
Shares outstanding	1,986,578,999
Market capitalisation (EGP m)	28,627

THE CONTESTED JUDGEMENT
— BOTH WAYS, NEVER
AVERAGED

Is the ANNA capital programme carried through, or stopped?	
Carried through (EGP/share)	4.04
Stopped (EGP/share)	8.04
The gap (EGP/share)	4.00
The gap (EGP m of equity)	7,945
Discount rate implied by the traded price (flat, nominal)	13.0%
Sovereign ten-year yield the same day, for comparison	23.0%
Cost of capital built in this model, year one	25.76%
Cost of capital on the RATING premium basis, year one — the published alternative	26.88%

Both premium bases are published and neither is mixed with the other's risk-free rate.

Terminal value as a share of enterprise value is reported beside the cash-flow lens on the

THE ANSWER — TWO
BRANCHES, PUBLISHED SIDE
BY SIDE AND NEVER AVERAGED

Cash-flow lens — ANNA programme
CARRIED THROUGH (EGP/share)

4.04

Against spot -72.0%

Cash-flow lens — ANNA programme
STOPPED (EGP/share)

8.04

Against spot -44.2%

RETIRED — the 45/20/20/15
weighted blend, published unused

5.87

Why it is retired the weights were typed and had never cleared an out-of-sample test

The judgement is BINARY and its two answers straddle the interesting range, so an average would describe a half-built plant — a world nobody is proposing and the company is not in. Both branches are published; neither is weighted into the other. Bear and full are the field's floor and ceiling.

FUNDAMENTAL VALUATION — THE FOUR LENSES, ONE FIELD

The cash-flow lens is primary; the other three test it from directions it cannot test itself.

Lens 2 — book value and sustainable return	Value	Derivation
Book equity, 31 March 2026 (EGP m)	16,206	Paid-in capital plus reserves, as reported
Book value per share (EGP)	8.16	
Underlying profit FY2023/24 (EGP m)	503	Reported profit less the one-off investment-property revaluation gain
Underlying profit FY2024/25 (EGP m)	987	As reported
Opening equity FY2023/24 (EGP m)	7,250	Prior-year closing equity
Opening equity FY2024/25 (EGP m)	14,560	Prior-year closing equity
Return on equity FY2023/24	6.9%	
Return on equity FY2024/25	6.8%	
Sustainable return on equity	6.9%	The two-year average on underlying profit
Cost of equity	29.28%	Built on the Assumptions sheet
Terminal growth	7.0%	
Justified price-to-book, before flooring	-0.006	The sustainable return does not cover even nominal maintenance growth, so this is NEGATIVE. That is the finding, not a rounding artefact.
Justified price-to-book	0.00	Floored at zero
Value per share on this lens (EGP)	0.00	
Price-to-book the market pays	1.77	For comparison

WHAT THE FOUR LENSES SAY TOGETHER

Lens	EGP per share	Note
Cash flow — programme carried through	4.04	
Cash flow — programme stopped	8.04	
Book value, disclosed (a floor, never weighted)	8.16	
Relative multiples	15.99	
Normalised earnings power	4.29	
The field, low to high	4.04	15.99

The two cash-flow readings are the contested judgement. They are the two sides of one question and are never averaged; the other three lenses are read against both. Note that the lens giving the highest number — relative multiples — is also the one that never asks what the capital programme does to cash, which is exactly

ASSUMPTIONS — THE LIVE DRIVERS

Blue cells are inputs. Change one and the model reprices. Each carries its source. Every value on this sheet comes from the study's input register.

Driver	Unit	Value	Source
THE CAPITALISATION			
Shares outstanding	shares	1,986,578,999	Audited financial statements, year ended 30 June 2025 (Central Auditing Organization, report dated 23 September 2025). note 14 share capital
Anchor price	EGP	14.41	EGCH closing price on the Egyptian Exchange, 3 September 2026. The previous edition was struck on the 6 August close of 13.98
Exchange rate, FY2024/25 average	EGP/US\$	49.00	Constructed: the rate that reconciles note 20 export revenue to the disclosed export price and the implied export tonnage
Normalised-earnings multiple, low	x	8.0	Multiple applied to mid-cycle profit after tax, low end
Normalised-earnings multiple, central	x	10.0	Multiple applied to mid-cycle profit after tax, central
Normalised-earnings multiple, high	x	12.0	Multiple applied to mid-cycle profit after tax, high end
CAPACITY AND VOLUME			
Urea design capacity	tonnes/year	574,875	Constructed: 1,575 t/day contractual plate times 365 days
Ammonia design capacity	tonnes/year	438,000	Audited financial statements, year ended 30 June 2025 (Central Auditing Organization, report dated 23 September 2025). note 28
Ammonia per tonne of urea	tonnes	0.620	Constructed: FY2024/25 ammonia output divided by FY2024/25 urea output, both from the auditor's product cost table
Urea capacity utilisation — FY2026/27	% of plate	91.3%	Constructed: utilisation path. Audited output ran 586.4kt in FY2022/23 (2% above plate), 521.9kt in FY2023/24 and 513.4kt in FY2024/25; the path never returns to plate because the summer gas curtailment is structural.
Urea capacity utilisation — FY2027/28	% of plate	92.2%	Constructed: utilisation path. Audited output ran 586.4kt in FY2022/23 (2% above plate), 521.9kt in FY2023/24 and 513.4kt in FY2024/25; the path never returns to plate because the summer gas curtailment is structural.
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Urea capacity utilisation — FY2029/30	% of plate	93.9%	Constructed: utilisation path. Audited output ran 586.4kt in FY2022/23 (2% above plate), 521.9kt in FY2023/24 and 513.4kt in FY2024/25; the path never returns to plate because the summer gas curtailment is structural.
Urea capacity utilisation — FY2030/31	% of plate	94.8%	Constructed: utilisation path. Audited output ran 586.4kt in FY2022/23 (2% above plate), 521.9kt in FY2023/24 and 513.4kt in FY2024/25; the path never returns to plate because the summer gas curtailment is structural.
Subsidised deliveries — FY2026/27	tonnes	155,000	Constructed: subsidised delivery path. The company met 147kt of a 322kt requirement in the fourteen months to August 2025. a 46% compliance rate the forecast does not assume away.
Subsidised deliveries — FY2027/28	tonnes	160,000	Constructed: subsidised delivery path. The company met 147kt of a 322kt requirement in the fourteen months to August 2025. a 46% compliance rate the forecast does not assume away.
Subsidised deliveries — FY2028/29	tonnes	165,000	Constructed: subsidised delivery path. The company met 147kt of a 322kt requirement in the fourteen months to August 2025. a 46% compliance rate the forecast does not assume away.
Subsidised deliveries — FY2029/30	tonnes	170,000	Constructed: subsidised delivery path. The company met 147kt of a 322kt requirement in the fourteen months to August 2025. a 46% compliance rate the forecast does not assume away.
Subsidised deliveries — FY2030/31	tonnes	175,000	Constructed: subsidised delivery path. The company met 147kt of a 322kt requirement in the fourteen months to August 2025. a 46% compliance rate the forecast does not assume away.
Local free-market volume — FY2026/27	tonnes	40,000	Constructed: local free-market volume path from the 37.1kt implied for FY2024/25.
Local free-market volume — FY2027/28	tonnes	41,000	Constructed: local free-market volume path from the 37.1kt implied for FY2024/25.
Local free-market volume — FY2028/29	tonnes	42,000	Constructed: local free-market volume path from the 37.1kt implied for FY2024/25.
Local free-market volume — FY2029/30	tonnes	43,000	Constructed: local free-market volume path from the 37.1kt implied for FY2024/25.
Local free-market volume — FY2030/31	tonnes	44,000	Constructed: local free-market volume path from the 37.1kt implied for FY2024/25.
PRICES			
Export urea price — FY2026/27	US\$/tonne	530.0	Held FLAT in nominal dollars at the opening level. No forecast of a traded commodity price is defensible, which is the convention this house applies to the same class of input elsewhere; the previous path fell 17% over five years on a construction nothing sourced.
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Egyptian pounds per US dollar, spot	EGP/US\$	49.79	Market quote
Long-run United States inflation	%	2.4%	Long-run United States inflation, the other leg of the purchasing-power wedge
Currency wedge — FY2026/27	%	11.33%	Derived: the relative-purchasing-power depreciation the inflation path implies against long-run US inflation, the SAME wedge that carries the dollar debt in that year
Egyptian pounds per US dollar — FY2026/27	EGP/US\$	55.43	Derived: the prior year's rate carried on that year's wedge
Currency wedge — FY2027/28	%	7.91%	Derived: the relative-purchasing-power depreciation the inflation path implies against long-run US inflation, the SAME wedge that carries the dollar debt in that year
Egyptian pounds per US dollar — FY2027/28	EGP/US\$	59.81	Derived: the prior year's rate carried on that year's wedge
Currency wedge — FY2028/29	%	5.71%	Derived: the relative-purchasing-power depreciation the inflation path implies against long-run US inflation, the SAME wedge that carries the dollar debt in that year
Egyptian pounds per US dollar — FY2028/29	EGP/US\$	63.23	Derived: the prior year's rate carried on that year's wedge
Currency wedge — FY2029/30	%	4.74%	Derived: the relative-purchasing-power depreciation the inflation path implies against long-run US inflation, the SAME wedge that carries the dollar debt in that year
Egyptian pounds per US dollar — FY2029/30	EGP/US\$	66.23	Derived: the prior year's rate carried on that year's wedge
Currency wedge — FY2030/31	%	4.49%	Derived: the relative-purchasing-power depreciation the inflation path implies against long-run US inflation, the SAME wedge that carries the dollar debt in that year
Egyptian pounds per US dollar — FY2030/31	EGP/US\$	69.20	Derived: the prior year's rate carried on that year's wedge
Export duty	% of export value	10.0%	2026 replacement of the shortfall levy with an ad-valorem duty tied to the global price
Subsidised price — FY2026/27	EGP/tonne	7,526	Constructed: administered subsidised price path from the EGP 6,000 cooperative supply
Subsidised price — FY2027/28	EGP/tonne	8,429	Constructed: administered subsidised price path from the EGP 6,000 cooperative supply
Subsidised price — FY2028/29	EGP/tonne	9,272	Constructed: administered subsidised price path from the EGP 6,000 cooperative supply
Subsidised price — FY2029/30	EGP/tonne	10,106	Constructed: administered subsidised price path from the EGP 6,000 cooperative supply
Subsidised price — FY2030/31	EGP/tonne	10,915	Constructed: administered subsidised price path from the EGP 6,000 cooperative supply
Local free price as % of export parity	%	90.0%	Constructed: local free-market urea clears at about 90% of export parity, implied by the FY2024/25 note-20 local revenue net of the subsidised and nitrate legs
Nitrate volume — FY2026/27	tonnes	26,000	Constructed: nitrate volume path, flat on the FY2024/25 combined granulated and low-density output.
Nitrate volume — FY2027/28	tonnes	26,000	Constructed: nitrate volume path, flat on the FY2024/25 combined granulated and low-density output.
Nitrate volume — FY2028/29	tonnes	26,000	Constructed: nitrate volume path, flat on the FY2024/25 combined granulated and low-density output.
Nitrate volume — FY2029/30	tonnes	26,000	Constructed: nitrate volume path, flat on the FY2024/25 combined granulated and low-density output.
Nitrate volume — FY2030/31	tonnes	26,000	Constructed: nitrate volume path, flat on the FY2024/25 combined granulated and low-density output.
Nitrate price, FY2024/25 basis	EGP/tonne	20,000	Implied by the note-20 local revenue net of the subsidised and free-market urea legs; indexed forward on the currency
Other revenue — FY2026/27	EGP m	140.0	Constructed: merchant nitric acid, the ferrosilicon plant's rent and services.
Other revenue — FY2027/28	EGP m	152.0	Constructed: merchant nitric acid, the ferrosilicon plant's rent and services.
Other revenue — FY2028/29	EGP m	163.0	Constructed: merchant nitric acid, the ferrosilicon plant's rent and services.
Other revenue — FY2029/30	EGP m	174.0	Constructed: merchant nitric acid, the ferrosilicon plant's rent and services.
Other revenue — FY2030/31	EGP m	186.0	Constructed: merchant nitric acid, the ferrosilicon plant's rent and services.

COST STACK — ONE ESCALATOR PER PHYSICAL DRIVER

Gas per tonne of ammonia	m3	1,292	Constructed and FLAGGED: the statements give a single materials line and do not split gas from the rest. Gas is set at three quarters of that line, which implies 1,292 m3 per tonne of ammonia — inside the auditor's own disclosed 1,025 to 1,771 range. This is the largest modelled allocation in the study
Realised gas price	US\$/mmBtu	4.68	Constructed: the company's own Q1 disclosure values 31,313,235 m3 of lost gas at EGP 251m, or EGP 8.016/m3, which converts to about US\$4.68/mmBtu at the prevailing rate — below the US\$5.75 contract price, which the study carries as its downside case
Energy conversion	mmBtu per m3	0.03531	Constructed: standard gross calorific conversion
Other materials per tonne of urea	EGP	2,142	The FY2024/25 materials line less modelled gas, over urea output: packaging, catalysts and consumable spares
Wages in cost of sales, FY2024/25	EGP m	212.9	Audited financial statements, year ended 30 June 2025 (Central Auditing Organization, report dated 23 September 2025), note 21

Purchased services, FY2024/25	EGP m	62.6	Audited financial statements, year ended 30 June 2025 (Central Auditing Organization, report dated 23 September 2025), note 21
Inland freight per export tonne	EGP	1,742	Audited financial statements, year ended 30 June 2025 (Central Auditing Organization, report dated 23 September 2025), note 22 freight and commissions over the implied export tonnage
Other selling cost, FY2024/25	EGP m	176.3	Audited financial statements, year ended 30 June 2025 (Central Auditing Organization, report dated 23 September 2025), note 22 selling materials, wages and other selling expense
Administrative expense, FY2024/25	EGP m	359.6	Audited financial statements, year ended 30 June 2025 (Central Auditing Organization, report dated 23 September 2025), income statement
Stoppage and abnormal gas cost — FY2026/27	EGP m	150.0	Constructed: stoppage and abnormal-gas cost, decaying as supply normalises from the EGP 164.5m charged in FY2024/25.
Stoppage and abnormal gas cost — FY2027/28	EGP m	120.0	Constructed: stoppage and abnormal-gas cost, decaying as supply normalises from the EGP 164.5m charged in FY2024/25.
Stoppage and abnormal gas cost — FY2028/29	EGP m	100.0	Constructed: stoppage and abnormal-gas cost, decaying as supply normalises from the EGP 164.5m charged in FY2024/25.
Stoppage and abnormal gas cost — FY2029/30	EGP m	90.0	Constructed: stoppage and abnormal-gas cost, decaying as supply normalises from the EGP 164.5m charged in FY2024/25.
Stoppage and abnormal gas cost — FY2030/31	EGP m	80.0	Constructed: stoppage and abnormal-gas cost, decaying as supply normalises from the EGP 164.5m charged in FY2024/25.
Egyptian inflation — FY2026/27	%	14.0%	DERIVED from the single Egyptian inflation path this series uses for every Egyptian company it values (as of 2026-09-02), mapped onto this company's 30 June fiscal year end: each fiscal year takes half of each of the two calendar years it spans, and beyond the path's last published year its long-run rate. That path is 2026 16.0% / 2027 12.0% / 2028 9.0% / 2029 7.5% / 2030 7.0%. No number here is chosen for this study: a company cannot be valued in an economy the study beside it does not recognise, so no valuation in this series sets an inflation rate of its own. Until 3 September 2026 this array read 10.0 / 7.0 / 6.0 / 5.0 / 5.0 and ended at 5% while the same study already took 7% as the long-run rate.
Egyptian inflation — FY2027/28	%	10.5%	DERIVED from the single Egyptian inflation path this series uses for every Egyptian company it values (as of 2026-09-02), mapped onto this company's 30 June fiscal year end: each fiscal year takes half of each of the two calendar years it spans, and beyond the path's last published year its long-run rate. That path is 2026 16.0% / 2027 12.0% / 2028 9.0% / 2029 7.5% / 2030 7.0%. No number here is chosen for this study: a company cannot be valued in an economy the study beside it does not recognise, so no valuation in this series sets an inflation rate of its own. Until 3 September 2026 this array read 10.0 / 7.0 / 6.0 / 5.0 / 5.0 and ended at 5% while the same study already took 7% as the long-run rate.
Egyptian inflation — FY2028/29	%	8.3%	DERIVED from the single Egyptian inflation path this series uses for every Egyptian company it values (as of 2026-09-02), mapped onto this company's 30 June fiscal year end: each fiscal year takes half of each of the two calendar years it spans, and beyond the path's last published year its long-run rate. That path is 2026 16.0% / 2027 12.0% / 2028 9.0% / 2029 7.5% / 2030 7.0%. No number here is chosen for this study: a company cannot be valued in an economy the study beside it does not recognise, so no valuation in this series sets an inflation rate of its own. Until 3 September 2026 this array read 10.0 / 7.0 / 6.0 / 5.0 / 5.0 and ended at 5% while the same study already took 7% as the long-run rate.
Egyptian inflation — FY2029/30	%	7.3%	DERIVED from the single Egyptian inflation path this series uses for every Egyptian company it values (as of 2026-09-02), mapped onto this company's 30 June fiscal year end: each fiscal year takes half of each of the two calendar years it spans, and beyond the path's last published year its long-run rate. That path is 2026 16.0% / 2027 12.0% / 2028 9.0% / 2029 7.5% / 2030 7.0%. No number here is chosen for this study: a company cannot be valued in an economy the study beside it does not recognise, so no valuation in this series sets an inflation rate of its own. Until 3 September 2026 this array read 10.0 / 7.0 / 6.0 / 5.0 / 5.0 and ended at 5% while the same study already took 7% as the long-run rate.
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COST OF CAPITAL			
Observed ten-year government yield	%	23.00%	Egypt ten-year government bond yield, market quote
Sovereign default spread, rating basis	%	6.37%	Country risk premium workbook, original file, Egypt row, adjusted default spread
Normalised risk-free rate, rating basis	%	16.63%	Country risk enters ONCE, through the premium below. Using the raw local yield with a country-loaded premium would charge Egypt's sovereign risk twice.

Equity risk premium, rating basis	%	13.94%	Country risk premium workbook, original file, Egypt row, rating basis total equity risk
Sovereign default spread, CDS basis	%	3.41%	Country risk premium workbook, original file, Egypt row, ten-year CDS spread
Equity risk premium, CDS basis	%	9.41%	Country risk premium workbook, original file, Egypt row, equity risk premium based on the sovereign credit default swap. CORRECTED 9 August 2026: the study had 9.4247%, reconstructed from a 3.55% spread the file does not carry. Damodaran's Fcvt row reads Own-stock weekly regression, 253 observations over 4.9 years against the published ECX30 index (as of 2026-07-22). R-squared 0.250. standard error 0.191. 90% interval 0.72 to 1.34
Beta	x	1.030	
Normalised risk-free rate, CDS basis — THE CENTRAL	%	19.59%	
Cost of equity, rating basis — published, not central	%	30.99%	
Cost of equity, CDS basis — THE CENTRAL	%	29.28%	
Cost of debt, local currency	%	19.40%	Constructed: EGP 96,896,001 of interest on the EGP 500,000,000 holding-company facility drawn in FY2024/25 — the company's own latest local borrowing
Cost of debt, dollar tranche, in dollars	%	11.70%	Constructed: EGP 1,338.0m of FY2024/25 interest on a mean dollar balance of about
Terminal currency wedge (the same identity, at the terminal inflation)	%	4.49%	Constructed: the central bank's LONG-RUN 5% target against about 2.4% in the United States, on the same relative-purchasing-power identity the study states. CORRECTED 9 August 2026: the study previously asserted 4.5% flat while stating a derivation that produces a different number in every year. The wedge is now computed from the identity rather than asserted, and the currency path is built from it year by year
Dollar debt at local-equivalent cost, year one (FY2026/27 wedge)	%	24.35%	
Share of debt in local currency	%	0.3%	The pound tranche of the project loan was repaid in June 2024, so the book is almost entirely dollar
Blended pre-tax cost of debt	%	24.34%	
Tax rate	%	22.5%	Audited financial statements, year ended 30 June 2025 (Central Auditing Organization, report dated 23 September 2025). note 5-16 income tax
Equity weight	%	66.2%	Market-value equity over market-value equity plus debt
Debt weight	%	33.8%	One less the equity weight
Cost of capital, year one	%	25.76%	
Terminal inflation (the same figure terminal growth is set at)	%	7.0%	The inflation embedded in the TERMINAL discount rate, taken from the house macro path and NOT typed here — the SAME figure terminal growth is set at, so the two cannot drift apart. (This sentence previously described the value as 5%, the central bank's Q4-2028 target, while the path supplies 7%: a 7% value carrying a 5% justification, which is exactly the kind of unfalsifiable typed rate this series does not permit. The value has always come from the path; only the sentence was wrong.) CORRECTED 1 September 2026: the 08-08-2026 edition built the terminal risk-free rate on the 7% Q4-2026 target while growing the perpetuity at 5%, a perpetual real decline of about 2% a year that no disclosure supports (the same defect the AMOC version found in 2025). Terminal growth, the terminal risk-free rate, and the terminal
Long-run real rate	%	5.5%	The house real-rate convention, used to build the terminal risk-free rate from its own components rather than from a spot yield
Terminal normalised risk-free rate — terminal inflation plus the long-run real rate, on the house macro path's own construction	%	12.50%	
Long-run dollar cost of debt	%	9.00%	Constructed: long-run corporate dollar cost of debt
Terminal cost of debt, local-equivalent	%	13.91%	
TERMINAL COST OF CAPITAL	%	18.33%	
Terminal growth	%	7.0%	Terminal growth from the house macro path: terminal inflation plus a STATED real growth of zero, so the real assumption is written down rather than inferred from the gap to the discount rate. It was 5% (+/-2) for Q4 2028. CORRECTED 9 August 2026 after external critique: the study previously used the 7% Q4-2026 target, which expires one quarter after the anchor date, as a perpetuity anchor -- and then defended it by calling 5% 'below the target', inverting the central bank's own target structure. A perpetuity takes the longest horizon target there is

		DERIVED BY IDENTITY, labelled as derived: accumulated depreciation over the year's own charge. Under straight-line depreciation accumulated equals age times charge, so the ratio is the charge-weighted average age of the base. THE THREE CONDITIONS THAT BREAK THAT IDENTITY ARE CHECKED AND CLEAR HERE. There is no residual value: the policy note writes off cost over the useful life and mentions none. No useful life has been reassessed: the disclosed rates are unchanged from the prior year's identical table. And the base was not assembled by acquisition — it is one plant, built and extended by this company. The corroboration is that only EGP 220mn, 1.3% of the base, is fully depreciated and still in production, so almost nothing is past its accounting life and the gross-over-charge life below
Average age of the fixed-asset base — MEASURED	years	4.45 reads close to a true weighted life rather than a longer economic cycle. 4.45 years against the DERIVED BY IDENTITY, labelled as derived: the depreciable gross cost — cost less land, which is never depreciated — over the year's own charge. It is the replacement cycle the accounts themselves run, and it sits inside the disclosed range: note 5-2 gives 3.95% on the urea and ammonia machinery (25.3 years), 9.5% on the factories (10.5), 6.5% on the workshops (15.4), 6% on the factory buildings (16.7), 2 to 5% on the residential city and the water and sewage pipes (20 to 50) and 4.75% on the intangible (21.1). A weighted life cannot be read off the note because it publishes no close balances, so the identity supplies one and
Replacement cycle the accounts imply	years	22.07
CAPITAL, WORKING CAPITAL AND THE PROJECT		
Depreciation charge, FY2024/25	EGP m	771.2 Audited financial statements, year ended 30 June 2025 (Central Auditing Organization, report dated 23 September 2025). note 6 fixed-asset register
Amortisation, FY2024/25	EGP m	119.4 Audited financial statements, year ended 30 June 2025 (Central Auditing Organization, report dated 23 September 2025). note 10 usufruct intangible
Project capital expenditure — FY2026/27	EGP m	2,599 Constructed: project spending path, RE-ANCHORED 9 August 2026 on the observed run rate. The first year is the company's own nine-month actual extended to a full year (EGP 1,949.1m x 4/3 = EGP 2,598.8m); the remaining years complete the EGP 14,688m still to spend against the bank-approved cost. The first issue opened at EGP 3,000m, above anything the company has actually spent in a year
Project capital expenditure — FY2027/28	EGP m	3,100 Constructed: project spending path, RE-ANCHORED 9 August 2026 on the observed run rate. The first year is the company's own nine-month actual extended to a full year (EGP 1,949.1m x 4/3 = EGP 2,598.8m); the remaining years complete the EGP 14,688m still to spend against the bank-approved cost. The first issue opened at EGP 3,000m, above anything the company has actually spent in a year
Project capital expenditure — FY2028/29	EGP m	3,300 Constructed: project spending path, RE-ANCHORED 9 August 2026 on the observed run rate. The first year is the company's own nine-month actual extended to a full year (EGP 1,949.1m x 4/3 = EGP 2,598.8m); the remaining years complete the EGP 14,688m still to spend against the bank-approved cost. The first issue opened at EGP 3,000m, above anything the company has actually spent in a year
Project capital expenditure — FY2029/30	EGP m	3,200 Constructed: project spending path, RE-ANCHORED 9 August 2026 on the observed run rate. The first year is the company's own nine-month actual extended to a full year (EGP 1,949.1m x 4/3 = EGP 2,598.8m); the remaining years complete the EGP 14,688m still to spend against the bank-approved cost. The first issue opened at EGP 3,000m, above anything the company has actually spent in a year
Project capital expenditure — FY2030/31	EGP m	2,489 Constructed: project spending path, RE-ANCHORED 9 August 2026 on the observed run rate. The first year is the company's own nine-month actual extended to a full year (EGP 1,949.1m x 4/3 = EGP 2,598.8m); the remaining years complete the EGP 14,688m still to spend against the bank-approved cost. The first issue opened at EGP 3,000m, above anything the company has actually spent in a year
Depreciation escalation on the existing base	per year	2.0% Constructed: escalation on the existing depreciation base, reflecting ordinary additions to the plant already in service
Depreciation rate on the new complex	per year	3.95% Audited financial statements, year ended 30 June 2025 (Central Auditing Organization, report dated 23 September 2025). note 5-2 depreciation rates
New complex nameplate	tonnes/day	800 EPC award for this plant (Tecnimont S.p.A. with Orascom Construction, announced 9 June 2023): 600 t/day nitric acid converted to 800 t/day of fertilizer-grade granulated ammonium nitrate. FOUND BY EXTERNAL CRITIQUE 9 August 2026 -- the study had said 'no filing states it' and derived the plate from the ammonia surplus instead
Operating days a year	days	330 Constructed: operating days a year for a continuous nitrate line, net of the turnaround the company takes annually
Steady-state depreciation wedge in the terminal year		DERIVED: the steady-state currency depreciation the terminal inflation (5%) implies against long-run US inflation (2.4%) on the relative purchasing-power identity — the same wedge that carries the dollar debt in the terminal year. RE-SET 1 September 2026 from a typed 2.5% so that the terminal currency the terminal cost of debt and the last explicit year share one
The complex is completed and in service (1 = yes)	ratio	2.5%
	switch	1 Case switch. Zero in the capital-discipline column, where the plant is never finished and therefore never depreciated.

Approved cost of the new complex	EGP m	20,342	Audited financial statements, year ended 30 June 2025 (Central Auditing Organization, report dated 23 September 2025), note 18-3 — bank-approved investment cost, agreement of 25 June 2025: dual-currency tranches at the approval rate
Maintenance capital expenditure	% of revenue	1.1%	Maintenance capital expenditure as a share of revenue, RE-ANCHORED 9 August 2026 on the company's OWN pre-project cash-flow statements: EGP 123.3m spent across FY2021/22 and FY2022/23 on EGP 11,052.9m of revenue. The first issue of this study used a 3.0% mature-plant standard instead, which is 2.7 times what this company has ever spent to keep its plant running, and which no disclosure supports. The replacement-rate framing (gross fixed assets at the disclosed 3.95% machinery rate, 6.11% of revenue) is carried as the published
Wind-down cost if the programme is stopped	EGP m	1,000	Constructed: capital-discipline case only: the cost of stopping the programme in the first forecast year — contract settlement and site preservation. No filing states it; it is the study's estimate and is flagged.
Ammonia per tonne of nitrate	tonnes	0.43	Constructed: ammonia per tonne of ammonium nitrate through the nitric-acid route plus direct neutralisation
Project nameplate (derived, not disclosed)	tonnes/year	264,000	EPC award for this plant (Tecnimont S.p.A. with Orascom Construction, announced 9 June 2023): 600 t/day nitric acid converted to 800 t/day of fertilizer-grade granulated ammonium nitrate. FOUND BY EXTERNAL CRITIQUE 9 August 2026 -- the study had said 'no filing states
Cross-check: nameplate derived from the ammonia surplus	tonnes/year	189,863	The construction the study used before the engineering award was found. Retained as a cross-check on the disclosed plate, not as the plate itself.
Project utilisation in the terminal year	%	50.0%	Constructed: project utilisation in the terminal year, central case
Nitrate price	US\$/tonne	280	Mid-cycle ammonium nitrate pricing
Project cash margin	% of revenue	32.0%	Constructed: conversion margin on ammonium nitrate over its own ammonia feedstock
Days sales outstanding	days	26.8	Constructed: FY2024/25 receivables over revenue
Days inventory outstanding	days	165.2	Constructed: FY2024/25 inventory over cost of sales
Days payable outstanding	days	83.2	Constructed: FY2024/25 payables over cost of sales

ENTERPRISE VALUE TO EQUITY — THE BRIDGE, BOTH SIDES OF THE JUDGEMENT

This company has one operating business, so there are no parts to sum. What the bridge does carry is the non-operating stack and the net debt. and it carries them for

Component	Programme carried through (EGP m)	Programme stopped (EGP m)	Source
Present value of the explicit window	3,843	11,013	Five years of free cash flow to the firm, discounted on the glide
Present value of the terminal value	10,677	11,451	The perpetuity, capitalised at the terminal cost of capital
Enterprise value	14,519	22,464	
Terminal value as a share of enterprise value	73.5%	51.0%	Reported because on this company it is the number that decides the answer
Less net debt	-10,032	-10,032	Gross debt less cash at 31 March 2026
Plus listed equity stakes at market	1,383	1,383	Remaining holdings after the partial disposal in the first half
Plus investment property	2,155	2,155	Carried at the revalued amount in the statements
Equity value	8,025	15,970	
Value per share (EGP)	4.04	8.04	

SEGMENTS — THE UNIT BUILD, TONNES TIMES PRICE

The company reports one operating segment, so the build goes below it to the product and the channel, which is the finest level the statements source.

Tonnes and prices	FY2026/27	FY2027/28	FY2028/29	FY2029/30	FY2030/31
Urea production (tonnes)	524,861	530,035	534,634	539,808	544,982
Ammonia produced, capped at the design plate					
	325,356	328,563	331,414	334,621	337,828
Subsidised volume (tonnes)	155,000	160,000	165,000	170,000	175,000
Local free-market volume (tonnes)	40,000	41,000	42,000	43,000	44,000
Export volume (tonnes)	329,861	329,035	327,634	326,808	325,982
Export price net of duty (EGP/tonne)	26,440	28,532	30,162	31,590	33,009
Local free-market price (EGP/tonne)	26,440	28,532	30,162	31,590	33,009
Nitrate price (EGP/tonne)	22,625	24,414	25,809	27,031	28,246
Export revenue (EGP m)	8,722	9,388	9,882	10,324	10,760
Subsidised revenue (EGP m)	1,167	1,349	1,530	1,718	1,910
Local free-market revenue (EGP m)	1,058	1,170	1,267	1,358	1,452
Nitrate revenue (EGP m)	588	635	671	703	734
Other revenue (EGP m)	140	152	163	174	186
REVENUE (EGP m)	11,674	12,693	13,513	14,277	15,043
Gas price (EGP per m3)	9.16	9.88	10.45	10.94	11.44
Natural gas (EGP m)	3,850	4,196	4,474	4,731	4,991
Cumulative inflation index	1.140	1.260	1.364	1.462	1.565
Other materials (EGP m)	1,282	1,430	1,562	1,691	1,827
Wages (EGP m)	243	268	290	311	333
Purchased services (EGP m)	71	79	85	91	98
Depreciation and amortisation (EGP m)	891	1,009	1,147	1,292	1,434
COST OF SALES (EGP m)	6,337	6,982	7,558	8,118	8,683
GROSS PROFIT (EGP m)	5,337	5,711	5,955	6,160	6,360
Gross margin — an OUTPUT, never an input	45.7%	45.0%	44.1%	43.1%	42.3%
Inland freight to port (EGP m)	655	722	778	832	888
Other selling cost (EGP m)	201	222	240	258	276
Administrative (EGP m)	410	453	490	526	563
Stoppage and abnormal gas cost (EGP m)	150	120	100	90	80
EBIT (EGP m)	3,921	4,194	4,346	4,453	4,553
EBITDA (EGP m)	4,812	5,203	5,492	5,746	5,987
EBITDA margin — an OUTPUT	41.2%	41.0%	40.6%	40.2%	39.8%

Margins are outputs of the build, not inputs to it. Nothing on this sheet sets a margin; each one falls out of tonnes,

LENS 3 — RELATIVE MULTIPLES · LENS 4 — NORMALISED EARNINGS POWER

Two cross-checks on the cash-flow lens, each reaching the answer from a direction the cash-flow model cannot reach it from.

Relative multiples	Value	Note
Forward EBITDA, FY2026/27 (EGP m)	4,812	From the unit build
Egyptian industrial range, low	6.0	Observed trading and transaction range
Egyptian industrial range, high	9.9	Observed trading and transaction range
Mid-point	8.0	
Enterprise value at the mid-point (EGP m)	38,255	
Less net debt (EGP m)	-10,032	31 March 2026
Plus non-operating assets (EGP m)	3,538	Listed stakes and investment property
Value per share on this lens (EGP)	15.99	
At the low multiple (EGP)	11.26	
At the high multiple (EGP)	20.71	
Multiple the market pays	8.0	The gap between this line and the next is the whole disagreement in one
Multiple this model's cash-flow lens implies	3.0	

This lens gives the highest of the four answers, and it is worth saying why: a multiple of forward EBITDA never asks what the capital programme does to cash. It values the plant as though the money being spent on the new complex were not being spent. That is exactly the question the cash-flow lens exists to

Normalised earnings power — every intermediate line	Value	Note
Mid-cycle urea output (tonnes)	540,542	Three-year average of audited output: 586.4kt, 521.9kt and 513.4kt
Export tonnes at mid-cycle	345,542	Output less the subsidised and free-market legs
Mid-cycle export price (US\$/tonne)	400	Above the 2015-2020 average of roughly US\$250 and well below the August 2026 quote of US\$545
Exchange rate used	55.89	The second year of the currency path
Export revenue (EGP m)	6,952	
Other revenue legs (EGP m)	2,704	Subsidised, local free market, nitrates and other, on the same paths as the main build
Mid-cycle revenue (EGP m)	9,657	
Mid-cycle cash cost (EGP m)	6,829	Gas, other materials, wages, services, freight, other selling and administration, each escalated on its own driver
Mid-cycle EBITDA (EGP m)	2,828	
Mid-cycle operating profit after tax (EGP m)	1,502	After depreciation and tax
Value per share at the central multiple (EGP)	4.29	A mature single-asset industrial in a high-inflation economy does not deserve
At the low multiple (EGP)	2.78	
At the high multiple (EGP)	5.80	

DISCOUNTED CASH FLOW —
THE CONTESTED JUDGEMENT
IN TWO COLUMNS

Column B carries the programme through; column D stops it. Both are complete valuations. They are never averaged.

EGP million	FY2026/27	FY2027/28	FY2028/29	FY2029/30	FY2030/31
Revenue	11,674 ##		13,513	14,277	15,043
EBITDA	4,812 ##		5,492	5,746	5,987
EBITDA margin	41.2% ##		40.6%	40.2%	39.8%
Depreciation and amortisation	891 ##		1,147	1,292	1,434
EBIT	3,921 ##		4,346	4,453	4,553
NOPAT = EBIT x (1 - tax rate)	3,039 ##		3,368	3,451	3,529
Add back depreciation	891 ##		1,147	1,292	1,434
Less capital expenditure	-2,729 ##		-3,451	-3,359	-2,657
Less change in working capital	788 ##		-190	-182	-183
FREE CASH FLOW TO THE FIRM	1,989 ##		874	1,202	2,122
Discount rate from the glide	25.76% ##		22.24%	21.02%	20.01%
Discount factor, compounded	0.7952 ##		0.5253	0.4341	0.3617
PRESENT VALUE OF FREE CASH FLOW	1,581 ##		459	522	768

Case switches

Programme carried through (1 = yes)	1
Wind-down cost if stopped (EGP m)	1,000

TERMINAL BLOCK AND THE BRIDGE —
BOTH SIDES

	Programme carried through	Programme stopped
Year-five profit before interest and tax, the project's own depreciation added back, grown at terminal growth	5,387	5,387
Project revenue in the terminal year	2,672	0
Project operating profit, after its own depreciation	51	0
Terminal EBIT	5,439	5,387
Terminal profit after tax	4,215	4,175
Plus book depreciation and amortisation in the terminal year	1,822	1,019
Less capital maintenance at replacement cost — the book charge escalated over the measured average age of the base	-2,463	-1,377
Less capital for REAL growth — the stated real growth is zero, so none	0	0
Less inflation on the working capital the business carries	-229	-229
Terminal free cash flow	3,345	3,588
TERMINAL VALUE	29,516	31,658
Memo — the no-growth perpetuity at book depreciation (a diagnostic, not a bound)	22,991	22,774
Present value of the terminal value	10,677	11,451

Present value of the explicit window	3,843	11,013
ENTERPRISE VALUE	14,519	22,464
TERMINAL VALUE AS A SHARE OF ENTERPRISE VALUE	73.5%	51.0%
Gross debt, 31 March 2026	14,639	
Cash and equivalents	4,607	
Net debt	10,032	10,032
Listed equity stakes at market	1,383	1,383
Investment property	2,155	2,155
VALUE PER SHARE (EGP)	4.04	8.04
EQUITY VALUE	8,025	15,970

PROGRAMME STOPPED — the same operating build, project capital removed

EGP million	FY2026/27	FY 2027 /28	FY2028/29	FY2029/30	FY2030/31
Free cash flow, programme carried through	1,989 ##		874	1,202	2,122
Add back project capital not spent	2,599 ##		3,300	3,200	2,489
Less the wind-down cost	-1,000 0		0	0	0
Less the tax shield on depreciation never incurred	0 -23		-51	-80	-108
FREE CASH FLOW, PROGRAMME STOPPED	3,588 ##		4,124	4,322	4,503
Present value	2,853 ##		2,166	1,876	1,629

INCOME STATEMENT — THREE YEARS HISTORICAL, FIVE YEARS FORECAST

*History is carried exactly as issued. The
forecast is a formula reading the unit build.*

EGP million	FY2022/23	FY2023/24	FY2024/25	FY2025/26E	FY2026/27	FY2027/28	FY2028/29	FY2029/30	FY2030/31
Revenue	6,612	6,532	8,603	10,379	11,674	12,693	13,513	14,277	15,043
Cost of sales	3,574	4,396	5,300	5,825	6,337	6,982	7,558	8,118	8,683
Gross profit	3,038	2,136	3,302	4,554	5,337	5,711	5,955	6,160	6,360
Selling and distribution	474	563	786	980	856	944	1,019	1,090	1,164
Administrative	189	298	360	365	410	453	490	526	563
EBIT before other items	2,375	1,276	2,156	3,209	3,921	4,194	4,346	4,453	4,553
Depreciation and amortisation	719	773	896	891	891	1,009	1,147	1,292	1,434
EBITDA	3,094	2,049	3,052	4,099	4,812	5,203	5,492	5,746	5,987
Gross margin	45.9%	32.7%	38.4%	43.9%	45.7%	45.0%	44.1%	43.1%	42.3%
EBITDA margin	46.8%	31.4%	35.5%	39.5%	41.2%	41.0%	40.6%	40.2%	39.8%
Net profit as reported	1,151	2,538	987	531					
Less one-off investment-property revaluation		2,035							
Net profit, underlying		503							

The EBIT line is struck before provisions,
currency translation and other income and
expense, so it measures trading rather than
the statements' own operating result, which
mixes all three. FY2025/26 is nine months

BALANCE SHEET — AS ISSUED, AND ROLLED FORWARD

*History exactly as issued at each reporting date.
The forecast rolls property on capital expenditure
less depreciation and working capital on the*

EGP million	30 Jun 2023	30 Jun 2024	30 Jun 2025	31 Mar 2026
Net fixed assets	11,300	14,144	13,587	13,058
Construction in progress	56	2,535	3,790	5,654
Investment property	0	2,035	2,161	2,155
Investments at fair value	1,855	2,491	2,163	1,383
Intangible assets	1,909	2,376	2,257	2,171
Inventory	1,392	1,615	2,400	3,378
Receivables	799	858	631	1,230
Cash and equivalents	1,416	3,103	3,057	4,607
Total assets	18,728	29,158	30,046	33,634
Paid-in capital	5,933	9,933	9,933	9,933
Reserves and retained earnings	1,317	4,627	5,430	6,273
Long-term bank loans	8,425	11,226	11,183	14,386
Holding-company loans	50	0	597	46
Deferred tax liability	1,469	1,001	991	961
Provisions	144	432	309	292
Payables and other	1,368	1,587	1,208	1,539
Current portion of long-term debt	21	354	397	207
Total equity and liabilities	18,728	29,161	30,048	33,637
Gross interest-bearing debt	8,497	11,580	12,178	14,639
Net debt	7,080	8,477	9,120	10,032

FORECAST ROLL-FORWARD

EGP million	FY2026/27	FY2027/28	FY2028/29	FY2029/30	FY2030/31
Property and construction, opening	18,711	20,550	22,783	25,087	27,154
Capital expenditure	2,729	3,242	3,451	3,359	2,657
Depreciation and amortisation	891	1,009	1,147	1,292	1,434
Property and construction, closing	20,550	22,783	25,087	27,154	28,377

CASH FLOW — WORKING
CAPITAL FROM THE
DISCLOSED DAY COUNTS

No plugs: receivables, inventory and payables are
projected from the day counts the audited
statements themselves involv. and the change feeds

EGP million	FY2026/27	FY2027/28	FY2028/29	FY2029/30	FY2030/31
Revenue	11,674	12,693	13,513	14,277	15,043
Cost of sales	6,337	6,982	7,558	8,118	8,683
Receivables	856	931	991	1,047	1,104
Inventory	2,869	3,161	3,422	3,675	3,931
Payables	1,444	1,591	1,722	1,850	1,979
Net working capital	2,281	2,501	2,691	2,873	3,056
Opening net working capital, 31 March 2026 as reported	3,069				
Change in net working capital	-788	220	190	182	183
Free cash flow to the firm	1,989	798	874	1,202	2,122

CAPITAL EXPENDITURE RECORD —
WHAT THE COMPANY ACTUALLY
SPENDS

Year	Capital expenditure paid (EGP m)	Revenue (EGP m)	Of revenue	What it was
FY2021/22	80.8	4,441	1.8%	Before the project
FY2022/23	42.5	6,612	0.6%	Before the project
FY2023/24	2,396.6	6,532	36.7%	The build begins
FY2024/25	1,545.1	8,603	18.0%	Building
9M FY2025/26	1,949.1	7,315	26.6%	Nine months actual
Pre-project maintenance rate, the two clean years pooled			1.1%	THE MAINTENANCE DRIVER. Assumptions reads this cell.
Replacement-rate framing, the published alternative	17,022	3.95%	5.8%	Gross fixed assets at the disclosed machinery rate, over first-forecast-year revenue. NOT used in the valuation — the downside case, published beside the central and never averaged in.
Full-year project spend at the observed run rate	2,598.8			THE PROJECT PATH'S FIRST YEAR. Assumptions reads this cell.
Rate when the facility was signed, 25 June 2025	50.00			EGP per US dollar
Approved cost of the programme (EGP m)	6,422	278.4	20,342	EGP tranche, dollar tranche, and the two in one currency
Spent by 31 March 2026 (construction in progress)	5,654			
Still to spend			14,688	THE PROJECT PATH'S LAST YEAR is this less the four before it, so the path completes the programme by construction

The two shaded years at the top are the answer to the question this block exists to settle. With nothing being built, this plant cost EGP 80.8m and then EGP 42.5m a year to keep running

SUMMARY FINANCIALS — THE WHOLE MODEL ON ONE PAGE

EGP million	FY2026/27	FY2027/28	FY2028/29	FY2029/30	FY2030/31
Revenue	11,674	12,693	13,513	14,277	15,043
EBITDA	4,812	5,203	5,492	5,746	5,987
EBITDA margin	41.2%	41.0%	40.6%	40.2%	39.8%
EBIT	3,921	4,194	4,346	4,453	4,553
NOPAT	3,039	3,251	3,368	3,451	3,529
Capital expenditure	2,729	3,242	3,451	3,359	2,657
Free cash flow to the firm	1,989	798	874	1,202	2,122
Present value	1,581	512	459	522	768
Urea output (tonnes)	524,861	530,035	534,634	539,808	544,982
Export tonnes	329,861	329,035	327,634	326,808	325,982
Export price (US\$/t)	530.0	530.0	530.0	530.0	530.0

YEARS THREE TO FIVE AS RANGES — multipliers measured on the company's own history

Every figure below carries the number of tested cases it rests on; years one and two are left as points.

Revenue — low multiplier	x	0.11	0.04	0.08
Revenue — high multiplier	x	1.18	1.20	1.33
Revenue — low of the range (EGP m)		1,445	507	1,220
Revenue — high of the range (EGP m)		15,881	17,139	19,995
Tested cases behind the revenue band		11	10	9

PROBABILISTIC
PRICE MAP —
SIMULATION
OUTPUT

PASTED CLASS 3. These are
statistics of a fifty-thousand-path
simulation of the traded price.

Percentile	One month (EGP)	Three months (EGP)	Against spot, 1M	Against spot, 3M
Percentile 5	12.12	10.84	-15.9%	-24.8%
Percentile 25	13.45	13.21	-6.7%	-8.3%
Percentile 50	14.26	14.77	-1.0%	2.5%
Percentile 75	15.11	16.50	4.9%	14.5%
Percentile 95	16.77	20.09	16.4%	39.4%
Probability the price ends above today's	59.1%	63.1%		
Spot at the anchor date	14.41			
Anchor date	2026-08-06			
Check date	2026-09-06	2026-11-08		

LEVEL-TOUCH LADDER
— probability the price
TRADES THROUGH a
level at any point before
the check date

Level	One month	Three months
Up 5%	56.9%	79.8%
Up 10%	30.1%	62.6%
Up 15%	15.0%	47.4%
Up 20%	7.6%	35.1%
Down 5%	40.3%	60.3%
Down 10%	16.3%	37.5%
Down 15%	6.2%	22.2%
Down 20%	2.4%	13.0%

How this was tested. The same method was run backwards over the company's own fifteen-year price history in non-overlapping three-month windows and

SENSITIVITY — WHOLE-MODEL RE-RUNS

PASTED CLASS 3. Each cell is a complete revaluation at that pair of inputs. THIS GRID DOES NOT REDRAW when a driver changes on Assumptions.

Value per share (EGP) — long-run export price against the terminal cost of capital

	17.0% terminal	18.5% terminal	20.4% terminal	22.0% terminal	24.0% terminal
US\$ 380/t long-run export price	-2.64	-2.76	-2.87	-2.94	-3.01
US\$ 420/t long-run export price	-0.41	-0.71	-0.99	-1.18	-1.36
US\$ 460/t long-run export price	1.81	1.33	0.88	0.59	0.30
US\$ 500/t long-run export price	4.04	3.38	2.75	2.35	1.96
US\$ 540/t long-run export price	6.26	5.42	4.63	4.12	3.61

The crux in observable units. Both inputs are observable rather than matters of opinion: the first prints daily on a listed futures contract, the second can be read against the sovereign's own borrowing cost. A reader who believes urea holds above US\$540 for a decade, or that Egyptian equity risk clears below

THE CONTESTED CONSTRUCTIONS — one component moved, model re-run

		The published a	4.04
Choice made	The alternative	EGP/share	Against the published
Country risk priced off the sovereign's traded default swap	Priced off the sovereign's credit rating instead, which is the wider of the two spreads and gives a cost of capital	2.51	-1.53
A cost of capital that glides from its spot build to a terminal rate made from its own long-run	One flat spot rate applied to every explicit year and to the perpetuity	1.44	-2.60
Terminal growth at the central bank's medium-term inflation target	Two percentage points below it, which is negative real maintenance growth	2.45	-1.59
The cost of debt at the company's own disclosed rates — 19.4% on the local facility, 11.7% in dollars	Every leg floored at the 23.00% sovereign ten-year yield — the company's own facilities print no spread above the	2.89	-1.15
Beta from the five-year weekly regression of the share against the published EGX30 index	The lower bound of that regression's own 90% confidence interval	5.78	1.74
Gas at the realised price the company's own loss disclosure implies	The contract formula price in the operating agreement, which is higher	1.33	-2.71
The new complex earning at half its derived nameplate in the terminal year	Seventy per cent, which is what a well-run nitrate line achieves	4.47	0.43
Maintenance capital expenditure at the company's own observed pre-project rate of 1.12% of revenue	Replacement-rate maintenance: gross fixed assets at the disclosed 3.95% machinery depreciation rate, or 6.11%	3.13	-0.91
Capital maintenance charged at what replacing the plant costs today, on the 4.45-year average age the	Half the 22.1-year life the same accounts imply, 11.04 years, which is what has to be assumed where a	1.82	-2.22
Gas consumption at 1,292 cubic metres a tonne of ammonia — the rate implied by allocating three	The auditor's own disclosed STANDARD rate of 1,200 cubic metres a tonne, which is what the plant consumes	4.88	0.84
Project spending anchored on the observed run rate: the nine-month actual extended to a full year	The faster profile the first issue of this study used, opening at EGP 3,000m	3.83	-0.21

Each row is a complete re-run of the model through the same case machinery with one component moved and everything else held. Column C is pasted class 3 and DOES NOT REDRAW: column D is a formula against the published answer

PER-SHARE FIGURES AND RATIOS

Every line a formula.

Measure	Value	Basis
Book value per share (EGP)	8.16	Paid-in capital plus reserves at 31 March 2026 over the share count
Price to book the market pays	1.77	
Sustainable return on equity	6.9%	Two-year average on underlying profit
Cost of equity	29.28%	Built on the Assumptions sheet, on the CDS premium basis
The gap the company has to close	22.4%	A company earning below its cost of equity destroys value by growing
Net debt to EBITDA, FY2026/27	2.1	On the forward year
Enterprise value to EBITDA at the model's value	3.0	
Enterprise value to EBITDA at the market price	8.0	
Free cash flow per share, FY2026/27 (EGP)	1.00	
Free cash flow per share, FY2030/31 (EGP)	1.07	
Dividend per share	0.00	###0.00

PEER FRAME AND SECTOR

Cross-check only. Peer data is never a source for this company's own reported history.

Company	Market	Urea capacity (kt/yr)	Location	Why it matters here
Egyptian Chemical Industries	EGX	575	Aswan, 1,000 km inland	The subject. The only Egyptian nitrogen producer off the coast, which is why freight to port is its own disclosed cost line. The listed comparator, and the marketer of the subject's ammonia exports for a fee of 12% of the export price. The subject held 2.7% of it and began selling down. Curtailed alongside the rest of the industry in the 2026 gas squeeze; the subject's own urea is warehoused at Damietta for export. Completes the supply picture against which the export share is allocated.
Abu Qir Fertilizers	EGX	2,000	Alexandria, coastal	
MOPCO	Unlisted	1,800	Damietta, coastal	
Helwan Fertilizers and NCIC	Unlisted	1,300	Helwan and Ain Sokhna	
Egyptian nitrogen capacity (kt/yr)	7,250			
The subject's share of it	7.9%			
Inland freight per export tonne (EGP)	1,742			
The freight line is the difference that matters. A coastal producer does not compete on the subject's way to EGP.				